

EG Daily Brief: EU likely to harden China stance

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Daily Brief: EU likely to harden China stance

EU's China stance | MENA crisis | ICE shootings | US-Mexico relations | Cobre Panama reopening |
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summary

- * The EU will deploy its existing toolbox more aggressively and develop a new sector-focused instrument to address its trade concerns over China.
- * US-Iran escalation is likely to continue through mid-August, with Strait of Hormuz traffic falling steeply.
- * Following two shootings, ICE operations pose a risk for Republicans ahead of the midterms.
- * Mexican President Claudia Sheinbaum's pushback against ICE will strain US ties.
- * Regions, countries, and sectors covered in this edition include the US, China, the EU, Iran, Mexico, the Middle East and North Africa, Panama, and trade.

the top line

EU, China—EU gearing up for tougher China stance

- * The EU debate over China is hardening rapidly, largely driven by a shift in Germany. EU officials do not believe China will take meaningful steps to address their concerns and will respond on two parallel tracks.
- * The first is the development of a new instrument, which some senior officials are describing as the EU's Section 301. It will likely be built around three pillars: overdependencies, subsidies and currency manipulation, and solidarity. The instrument will allow the EU to target entire sectors rather than individual products and is intended to be country-agnostic, making it harder for China to retaliate. However, this will take time to negotiate and adopt, with its first use unlikely before 2028.
- * The second track will focus on deploying the EU's existing toolbox more aggressively. The EU has adopted new safeguards on steel and imposed a customs duty on small parcels. The aim is to show meaningful action before EU leaders next meet on 15 October.
- * Read more here . Reach out to discuss: europe@eurasiagroup.net .

MENA Crisis—Conference call notes

- * The shaky peace basecase is over. EG has shifted to a 55% basecase of continued US-Iran escalation through mid-August, with Strait of Hormuz traffic already falling to 5–15% of pre-war levels.
- * Oil prices have moved into a \$75–\$95 per barrel range under the current low-intensity standoff, while the escalatory base case points to a \$90–\$110 band, with upside risk if Bab el-Mandeb is also disrupted.
- * Iran's core demand—permanent control over Hormuz—is non-negotiable under the current regime, and the US will likely have to accept some form of divided control as the long-term equilibrium.
- * Read more here. Reach out to discuss: MENA@eurasiagroup.net .

US—ICE returning to the headlines is a risk for Republicans

- * Two fatal shootings by Immigration and Customs Enforcement (ICE) officers—in Texas last week and Maine on 13 July—raise the prospect that the Trump administration's deportation operations will become a major national news story for the first time since the climbdown in Minnesota earlier this year.
- * If the story catches on nationally, it would likely be bad news for Republicans, as ICE polls poorly among the general public.
- * That one of the shootings happened in Maine, home to a competitive Senate race this year, could accentuate its impact; Senator Susan Collins (R-ME) briefly commented on the shooting, and will likely seek to distance herself from the administration on it.
- * The shootings are unlikely to make the Department of Homeland Security back track on its recent deportation surge, even if tactics change slightly.
- * Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Mexico, US—Legal action against ICE will test the limits of US-Mexico relationship

- * Amid growing domestic pressure, President Claudia Sheinbaum's administration initiated legal action against ICE agents and private detention center operators after 17 Mexicans died in US custody or during immigration enforcement operations.
- * Sheinbaum urged all political parties to support the government's response, framing the issue as a matter of national sovereignty and human rights rather than partisan politics.
- * Although the legal strategy does not target the US government directly, President Donald Trump's administration will likely view it as a challenge to its immigration enforcement agenda, adding friction to an already strained bilateral relationship.
- * US frustration is already growing over Mexico's handling of the investigation involving Sinaloa Governor Ruben Rocha. Combined with migration disputes and Mexico's continued reluctance to take stronger action against senior Morena figures, the tensions will increase the likelihood of US escalation on security-related issues.
- * Read more here . Reach out to discuss: mexico@eurasiagroup.net .

Panama—Administration pushes mine decision toward year-end

- * The ministerial committee overseeing the future of the Cobre Panama mine is evaluating the results of a third-party audit and expects to submit a recommendation to President Jose Raul Mulino before the end of 2026.
- * The Mulino administration is highly committed to reopening the mine. However, sensitivities around a rushed reopening point to a longer timeline, which may also be driven by ongoing talks with First Quantum around the terms of a new contract.
- * In the meantime, the administration is seeking to shape public opinion by focusing on both the economic costs of continued closure and the environmental risks associated with leaving the site inactive. While an eventual reopening is likely, it will probably prompt social pushback, and now looks likely to be a lengthier process than initially expected.
- * Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Upcoming conference calls

- * 15 July 10:00 AM ET—China's growing economic coercion toolkit. Register here .
- * 15 July 11:00 AM ET—Brazil update: the fight against organized crime. Register here .
- * 20 July 10:00 AM ET—Brazil update: a conversation with Daniella Marques, advisor for Flavio Bolsonaro. Register here .
- * 21 July 9:00 PM ET—Claude Mythos: cyber power, competition & global risk. Register here .

eg in depth

Upcoming Events:

- * 15 July: Events: Fed Chair Kevin Warsh testifies before the Senate Banking Committee, Fed Beige Book; Data: US PPI; Central bank decision: Canada.
- * 16 July: Data: UK industrial production, trade balance, US retail sales. Central bank decision: South Korea.
- * 17 July: Events: The World Artificial Intelligence Conference is held in Shanghai through 20 July; Data: Eurozone CPI, US housing starts, UMich consumer sentiment, industrial production.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Joseph Craven, Martina Silva, Sol Lopes, and Trista Kelley, with help from Marina Tavares, and Astral Betteridge.

closing quip

We need a political currency dialogue with China”—German Chancellor Friedrich Merz said on 13 July in comments to students at Cologne University.

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Explanation of Political Trajectories (ie, “Trajectories”)

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Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

Disclaimers: Trajectories are solely for informational purposes and should not be relied upon as investment advice. Trajectories do not indicate asset price movements, and have no value in forecasting market prices. Trajectories are based on data and analysis we deem to be reliable; they are not guaranteed as to accuracy or completeness. The Trajectories indicate the political outlook in a single country, over time. Trajectories do not address sector-specific or city/regional political risks that are often different than the country-level outlook. Trajectories represent an analyst's net qualitative assessment of a country's political outlook. EG sales, analytic staff and products may provide analysis reflecting different opinions than those expressed by the Trajectories.

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